PUBLIC COMMENT — ARDEN COASTAL ALLIANCE (ASSOCIATION OF AFFECTED HOMEOWNERS)

Submitted 12 April 2025

The Alliance represents owners and prospective purchasers of property in the areas the bill would designate as Endangerment Zones. Our members are the people the bill says it is protecting and also the people it charges.

We support the producer charges. We oppose section 7-021 unless the producer charges stand.

The reason is arithmetic. Our members own property that the Assessment Division values above the threshold not because they are wealthy but because coastal land in Arden has appreciated. The median household income in the affected census tracts is $74,486. A fee of one per cent of the purchase price on a property at the median recorded price is a real sum to those households.

We are told the property fee is a modest part of the total. We ask the Committee to put the two annual figures side by side: what the property fee raises in a year, and what the annual producer charge raises in a year. The Department of Revenue and the Fiscal Office each hold half of that comparison and neither has made it.

2,277 of our members have signed this comment.

If the Committee strikes the producer charges and keeps the fee on us, we will say that the Legislature has made the victims pay.

WHAT THE FEE MEANS FOR A HOUSEHOLD ON THE MEDIAN

On the Assessment Division's figures the mean recorded price of a qualifying parcel is $0.841M. One per cent of that is a sum in the low thousands, payable at recording, on top of the transfer tax and the survey and the title work. For a household selling to move inland — which is what many of our members are trying to do — the fee is borne by the purchaser and comes off the price. It is our members who pay it, in the only way that matters.

On renovation: two per cent of cost, on work costing more than five per cent of assessed value. The Division's permit data puts the mean permitted cost at $0.095M. Two per cent is a smaller sum but it falls on work our members undertake precisely because of the risk the bill is addressed to. We have members raising structures on piers. They will pay the State for doing it.

THE EXEMPTION WE ASKED FOR AND DID NOT GET

We asked the Committee to exempt renovation undertaken to reduce flood risk. The bill as it stands exempts repair after a designated event, which is not the same thing: it rewards waiting for the damage. We renew that request.

ON THE PRODUCER CHARGES

We are not the natural constituency for a charge on out-of-state companies and we are aware of how our support will be read. Our reason is narrow. The bill raises money from two classes. If one class is removed by a court and the other is not, the burden does not fall away — it consolidates on whoever is left. The

severability clause at section 7-023 is no answer: the charges were plainly conceived as a package. We have asked for one.

The Alliance is incorporated in Arden as a not-for-profit membership corporation.